

MGT401 - Financial Accounting II (Quiz No. 03)

Question # 10 of 10 (Start time: 12:14:30 PM, 25 July 2023)

If a machinery having impairment loss of Rs. 20,000 and recoverable amount of Rs. 145,000 on 1st January, 2022 then its carrying value will be:

Select the correct option

☐ Rs. 135,000

☐ Rs. 165,000

☒ Rs. 125,000

☐ Rs. 185,000

Question # 9 of 10 (Start time: 12:13:52 PM, 25 July 2023)

Capitalized research and development cost for next 5 years is to be recorded as:

Select the correct option

- | | |
|----------------------------------|---|
| ☐ | A deferred expense in the profit and loss account |
| ☒ | An intangible asset in the balance sheet |
| ☐ | An expense in the profit and loss account |
| ☐ | A tangible asset in the balance sheet |

Question # 7 of 10 (Start time: 03:14:49 PM, 25 July 2023)

Total Marks: 1

Which of the following are the main sources of financing assets?

Select the correct option

 Reload Math Equations

☐

Equity and interest

☒

Equity and debt

☐

Debt and accrued income

☐

Prepayments and debt

Click to Save Answer & Move to Next Question

Question # 9 of 10 (start time: 03:18:05 PM, 25 July 2023)

Total Marks: 1

Which of the following statement is TRUE about equity financing?

[Reload Math Equations](#)☐

Shareholders have no claim on future profits of the business.

☒

Equity involves raising money by selling interests in the company.

☐

Raising equity capital is less complicated because the company is not required to comply with state.

☐

Shareholders are entitled only to repayment of the agreed-upon principal of the loan plus interest.

[Click to Save Answer & Move to Next Question](#)

Question # 10 of 10 (start time: 03:19:37 PM, 25 July 2023)

Total Marks: 1

If a machinery having impairment loss of Rs. 20,000 and recoverable amount of Rs. 145,000 on 1st January, 2022 then its carrying value will be:

Select the correct option

 Reload Math Equations☐

Rs. 135,000

☒

Rs. 125,000

☐

Rs. 185,000

☐

Rs. 165,000

Click to Save Answer & Move to Next Question

MGT401 – Financial Accounting II (Quiz No. 03)

Question # 1 of 10 (Start time: 12:09:16 PM, 25 July 2023)

A machine having cost of Rs. 240,000 and accumulated depreciation of Rs. 36,000 will yield carrying amount of:

Select the correct option

☒ Rs. 204,000

☐ Rs. 276,000

☐ Rs. 200,000

☐ Rs. 240,000

Question # 2 of 10 (Start time: 12:10:03 PM, 25 July 2023)

----- is debited in the books of accounts while derecognizing trade receivables.

Select the correct option

- | | |
|----------------------------------|-----------------------------|
| ☒ | Trade receivables account ✓ |
| ☐ | Cash account |
| ☐ | Trade payables account |
| ☐ | Sales revenue account |

Question # 3 of 10 (Start time: 12:10:38 PM, 25 July 2023)

----- is nothing more than applying the relevant loss rates to the trade receivable balances outstanding.

Select the correct option

☐	Deferred asset
☒	Provision matrix
☐	Unearned revenue
☐	Deferred liability

MGT401 - Financial Accounting II (Quiz No. 03)

Question # 4 of 10 (Start time: 12:11:14 PM, 25 July 2023)

A machinery whose carrying value is Rs. 310,000 and recoverable amount is Rs. 200,000 on 1st January, 2022 will be having impairment loss of:

Select the correct option

- | | |
|-----------------------|--------------|
| ☐ | Rs. 510,000 |
| ☐ | Rs. 210,000 |
| ☐ | Rs. 10,000 |
| ☐ | Rs 110,000 ✓ |

Question # 5 of 10 (Start time: 12:11:46 PM, 25 July 2023)

Which of the following statement is INCORRECT about equity financing?

Select the correct option

- | | |
|---|--|
| ☒ | It represents the value that would be returned to a company's shareholders if all of the assets were liquidated. |
| ☐ | Raising equity capital is less complicated because the company is not required to comply with state. |
| ☐ | Equity involves raising money by selling interests in the company. |
| ☐ | Shareholders have claim on future profits of the business. |

MGT401 – Financial Accounting II (Quiz No. 03)

Question # 6 of 10 (Start time: 12:12:17 PM, 25 July 2023)

Provision for depreciation is an example of which of the following?

Select the correct option

☒	Contra account
☐	Nominal account
☐	Expense account
☐	Debit account

MGT401 - Financial Accounting II (Quiz No. 03)

Question # 7 of 10 (Start time: 12:12:57 PM, 25 July 2023)

Accounting treatment for intangible fixed assets is discussed in which of the following IAS?

Select the correct option

- | | |
|----------------------------------|----------|
| ☒ | IAS 38 ✓ |
| ☐ | IAS 39 |
| ☐ | IAS 37 |
| ☐ | IAS 16 |

MGT401 - Financial Accounting II (Quiz No. 03)

Question # 8 of 10 (Start time: 12:13:24 PM, 25 July 2023)

Financial assets are initially measure at which of the following?

Select the correct option

- | | |
|---|----------------|
| ☒ | Fair value |
| ☐ | Market value |
| ☐ | Scrap value |
| ☐ | Residual value |

Question # 3 of 10 (**Start time: 09:01:06 AM, 27 July 2023**)

Transaction costs are recognized as ...in statement of profit & loss.

Select the correct option

- | | |
|----------------------------------|-----------|
| ☐ | Provision |
| ☒ | Expense ✓ |
| ☐ | Income |
| ☐ | Asset |

Question # 4 of 10 (**Start time: 09:01:17 AM, 27 July 2023**)

Building owned by the reporting entity to earn rental income is an example of:

Select the correct option

- | | |
|----------------------------------|-------------------------|
| ☒ | Investment property |
| ☐ | Intangible assets |
| ☐ | Owner occupied property |
| ☐ | Current assets |

Question # 5 of 10 (Start time: 09:02:16 AM, 27 July 2023)

Under revaluation model, fixed assets such as machinery and building are measured at:

Select the correct option

- | | |
|----------------------------------|---|
| ☐ | Historical cost less accumulated depreciation |
| ☐ | Fair Value less Historical cost |
| ☒ | Fair value less accumulated depreciation |
| ☐ | Historical cost |

Question # 6 of 10 (Start time: 09:03:19 AM, 27 July 2023)

Carrying amount of an intangible asset will decrease over the time due to:

Select the correct option

- | | |
|----------------------------------|--|
| ☐ | Decrease in amortization |
| ☒ | Increase in accumulated amortization ✓ |
| ☐ | Decrease in demand |
| ☐ | Decrease in impairment loss |

Question # 7 of 10 (**Start time: 09:03:58 AM, 27 July 2023**)

Accounting entry for impairment loss will be:

Select the correct option



Debit accumulated impairment loss and credit impairment loss



Debit impairment loss and credit accumulated impairment loss



Question # 8 of 10 (Start time: 09:04:53 AM, 27 July 2023)

Which of the following statement is INCORRECT about debt financing?

Select the correct option

- | | |
|-----------------------|--|
| ☐ | Except in the case of variable rate loans, principal and interest obligations are known amounts. |
| ☐ | Raising debt capital is less complicated because the company is not required to comply with state. |
| ☐ | A lender is entitled only to repayment of the agreed-upon principal of the loan plus interest. |
| ☐ | Lenders have direct claim on future profits of the business. |
- ✓

Question # 9 of 10 (Start time: 09:06:08 AM, 27 July 2023)

Property employed in the business administrative purposes is an example of:

Select the correct option

- | | |
|----------------------------------|-------------------------|
| ☐ | Investment property |
| ☐ | Non-current liabilities |
| ☒ | Owner occupied property |
| ☐ | Financial assets |

Question # 10 of 10 (**Start time: 09:07:36 AM, 27 July 2023**)

Under revaluation method, the revaluation is carried out -----

Select the correct option

- | | |
|----------------------------------|-------------------------|
| ☒ | For each class of asset |
| ☐ | After three years |
| ☐ | For all types of assets |
| ☐ | Each year |

Question # 2 of 10 (Start time: 08:14:30 PM, 27 July 2023)

Total Marks:

If a machinery having impairment loss of Rs. 20,000 and recoverable amount of Rs. 145,000 on 1st January, 2022 then its carrying value will be:

Select the correct option

 Reload Math Equations

- | | |
|----------------------------------|-------------|
| ☒ | Rs. 125,000 |
| ☐ | Rs. 165,000 |
| ☐ | Rs. 185,000 |
| ☐ | Rs. 135,000 |

Click to Save Answer & Move to Next Question



Building owned by the reporting entity to earn rental income is an example of:

Select the correct option

☐	Owner occupied property
☒	Investment property
☐	Current assets
☐	Intangible assets

Click to

MGT401 – Financial Accounting II (Quiz No. 03)

Question # 4 of 10 (**Start time: 08:17:25 PM, 27 July 2023**)

Which of the following IAS deals with investment property?

Select the correct option

☒	IAS 40
☐	IAS 2
☐	IAS 1
☐	IAS 7

Question # 5 of 10 (**Start time: 08:19:05 PM, 27 July 2023**)

----- is nothing more than applying the relevant loss rates to the trade receivable balances outstanding.

Select the correct option

☐	Unearned revenue
☐	Deferred liability
☒	Provision matrix
☐	Deferred asset

Click to Save Answer

Question # 6 of 10 (**Start time: 08:20:40 PM, 27 July 2023**)

Provision for depreciation is an example of which of the following?

Select the correct option

☐	Nominal account
☐	Expense account
☐	Debit account
☐	Contra account ✓

**Question # 7 of 10 (Start time: 08:22:39 PM, 27 July 2023)**

Goodwill purchased in an example of

Select the correct option

☐	Tangible and fixed asset
☐	Intangible and current asset
☐	Intangible and fixed asset
☐	Tangible and current asset





vulms.vu.edu.pk/



Question # 8 of 10 (Start time: 08:24:42 PM, 27 July 2023)

Accounting entry for impairment loss will be:

Select the correct option

- ☒
- Debit impairment loss and credit accumulated impairment loss
- ☐
- Debit accumulated impairment loss and credit impairment loss

Click to view answer





vulms.vu.edu.pk/



1



Question # 9 of 10 (**Start time: 08:26:29 PM, 27 July 2023**)

----- is debited in the books of accounts while derecognizing trade receivables.

Select the correct option

☐	Sales revenue account
☐	Cash account
☐	Trade payables account
☐	Trade receivables account



Click





vulms.vu.edu.pk/



MG1401 - Financial Accounting II (Quiz No. 03)

Question # 10 of 10 (Start time: 08:28:39 PM, 27 July 2023)

Non-Current Assets are:

Select the correct option

☐	Intangible Assets
☐	Property Plant & Equipment
☐	Investment Property
☐	All of the above ✓



vulms.vu.edu.pk/



BC220415515: IRFAN RAFIQUE

Time Left

77
sec(s)

MGT401 - Financial Accounting II (Quiz No. 03)

Quiz Start Time: 08:33 PM, 27 July 2023

Question # 3 of 10 (Start time: 08:33:42 PM, 27 July 2023)

Total Marks: 1

Which of the following statement is INCORRECT about debt financing?

Select the correct option

Reload Math Equations



Lenders have direct claim on future profits of the business.



Except in the case of variable rate loans, principal and interest obligations are known amounts.



Raising debt capital is less complicated because the company is not required to comply with state.



A lender is entitled only to repayment of the agreed-upon principal of the loan plus interest.

Click to Save Answer & Move to Next Question



vulms.vu.edu.pk/



BC220415515: IRFAN RAFIQUE

Time Left

87

sec(s)

MGT401 - Financial Accounting II (Quiz No. 03)

Quiz Start Time: 08:33 PM, 27 July 2023

Question # 4 of 10 (Start time: 08:35:22 PM, 27 July 2023)

Total Marks: 1

Accounting entry for impairment loss will be:

Select the correct option



Reload Math Equations



Debit impairment loss and credit accumulated impairment loss



Debit accumulated impairment loss and credit impairment loss

Click to Save Answer & Move to Next Question



vulms.vu.edu.pk/



BC220415515: IRFAN RAFIQUE

Time Left

89

sec(s)

MGT401 - Financial Accounting II (Quiz No. 03)

Quiz Start Time: 08:33 PM, 27 July 2023

Question # 5 of 10 (Start time: 08:35:56 PM, 27 July 2023)

Total Marks: 1

Property employed in the business administrative purposes is an example of:

Select the correct option



Reload Math Equations



Owner occupied property



Financial assets



Non-current liabilities



Investment property

Click to Save Answer & Move to Next Question



vulms.vu.edu.pk/



BC220415515: IRFAN RAFIQUE

Time Left

89

sec(s)

MGT401 - Financial Accounting II (Quiz No. 03)

Quiz Start Time: 08:33 PM, 27 July 2023

Question # 6 of 10 (Start time: 08:37:09 PM, 27 July 2023)

Total Marks: 1

A machinery whose carrying value is Rs. 310,000 and recoverable amount is Rs. 200,000 on 1st January, 2022 will be having impairment loss of:

Select the correct option



Reload Math Equations



Rs 110,000



Rs. 210,000



Rs. 510,000



Rs. 10,000

Click to Save Answer & Move to Next Question

**Question # 7 of 10 (Start time: 08:37:59 PM, 27 July 2023)**

Transaction costs are recognized asin statement of profit & loss.

Select the correct option

☐	Income
☐	Asset
☒	Expense ✓
☐	Provision



vulms.vu.edu.pk/



BC220415515: IRFAN RAFIQUE

MGT401 – Financial Accounting II (Quiz No. 03)

Quiz Start

Question # 8 of 10 (Start time: 08:39:14 PM, 27 July 2023)

In which of the following fixed asset valuation model, the fair value is considered:

Select the correct option



Revaluation model



Current Cost Model



Present Value model



Cost model

Click to Save Answer



BC220415515: IRFAN RAFIQUE

MGT401 – Financial Accounting II (Quiz No. 03)

Question # 9 of 10 (Start time: 08:40:29 PM, 27 July 2023)

Under revaluation method, the revaluation is carried out -----

Select the correct option



Each year



After three years



For each class of asset



For all types of assets





BC220415515: IRFAN RAFIQUE

MGT401 - Financial Accounting II (Quiz No. 03)

Question # 10 of 10 (Start time: 08:41:10 PM, 27 July 2023)

Which of the following statement is TRUE about equity financing?

Select the correct option



Shareholders are entitled only to repayment of the agreed-upon principal of the loan.



Equity involves raising money by selling interests in the company.



Shareholders have no claim on future profits of the business.



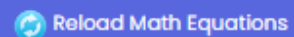
Raising equity capital is less complicated because the company is not required to co

Question # 1 of 10 (Start time: 06:37:05 PM, 20 July 2023)

Total Marks: 1

Trade receivables are measured:

Select the correct option

 Reload Math Equations

At received price



At transaction price



At outstanding price



At recovery price



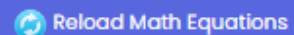
Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 06:38:30 PM, 20 July 2023)

Total Marks: 1

Trade receivables are derecognised when:

Select the correct option

 Reload Math Equations

All of the above



Realized in cash



Written off as bad debts



Settled in other financial assets



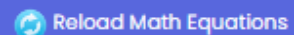
Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 06:39:57 PM, 20 July 2023)

Total Marks: 1

A performance obligation is a:

Select the correct option

 Reload Math Equations

Revenue



Promise



Action



Liability

[Click to Save Answer & Move to Next Question](#)

Question # 4 of 10 (Start time: 06:40:44 PM, 20 July 2023)

Total Marks: 1

A machinery whose carrying value is Rs. 310,000 and recoverable amount is Rs. 200,000 on 1st January, 2022 will be having impairment loss of:

Select the correct option

 Reload Math Equations

- | | |
|----------------------------------|-------------|
| ☐ | Rs. 10,000 |
| ☐ | Rs. 510,000 |
| ☒ | Rs 110,000 |
| ☐ | Rs. 210,000 |



Click to Save Answer & Move to Next Question

Question # 5 of 10 (Start time: 06:41:56 PM, 20 July 2023)

Total Marks: 1

Which of the following statement is INCORRECT about equity financing?

Select the correct option

 Reload Math Equations

Shareholders have claim on future profits of the business.



Raising equity capital is less complicated because the company is not required to comply with state.



Equity involves raising money by selling interests in the company.



It represents the value that would be returned to a company's shareholders if all of the assets were liquidated.



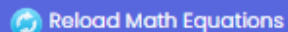
Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 06:44:54 PM, 20 July 2023)

Total Marks: 1

Goodwill purchased is an example of

Select the correct option

 Reload Math Equations

Tangible and fixed asset



Tangible and current asset



Intangible and fixed asset



Intangible and current asset



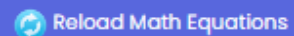
Click to Save Answer & Move to Next Question

Question # 8 of 10 (Start time: 06:46:22 PM, 20 July 2023)

Total Marks: 1

----- is nothing more than applying the relevant loss rates to the trade receivable balances outstanding.

Select the correct option

 Reload Math Equations

Provision matrix



Deferred liability



Unearned revenue



Deferred asset



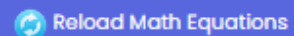
Click to Save Answer & Move to Next Question

Question # 9 of 10 (Start time: 06:47:52 PM, 20 July 2023)

Total Marks: 1

Current assets include:

Select the correct option

 Reload Math Equations

All of the above



Trade Receivables



Short Term Investments



Other Receivables (Loans)

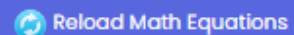
Click to Save Answer & Move to Next Question

Question # 10 of 10 (Start time: 06:48:17 PM, 20 July 2023)

Total Marks: 1

Dividend received during the reporting period is recognized asfor the year that appears in statement of profit and loss.

Select the correct option

 Reload Math Equations

☐	Expense
☒	Income
☐	Asset
☐	Liability

[Click to Save Answer & Move to Next Question](#)

Question # 1 of 10 (Start time: 09:47:17 PM, 27 July 2023)

Total Marks: 1

Carrying amount of an intangible asset will decrease over the time due to:

Select the correct option

[Reload Math Equations](#)

Increase in accumulated amortization



Decrease in demand



Decrease in impairment loss



Decrease in amortization

[Click to Save Answer & Move to Next Question](#)

Question # 2 of 10 (Start time: 09:48:48 PM, 27 July 2023)

Total Marks: 1

Which of the following statement is INCORRECT about equity financing?

Select the correct option

 Reload Math Equations☐ Equity involves raising money by selling interests in the company.☒ Raising equity capital is less complicated because the company is not required to comply with state.☐ It represents the value that would be returned to a company's shareholders if all of the assets were liquidated.☐ Shareholders have claim on future profits of the business.

Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 09:50:28 PM, 27 July 2023)

Total Marks: 1

Dividend received during the reporting period is recognized asfor the year that appears in statement of profit and loss.

Select the correct option

 Reload Math Equations☐

Liability

☒

Income

☐

Expense

☐

Asset



Click to Save Answer & Move to Next Question

Question # 4 of 10 (Start time: 09:51:38 PM, 27 July 2023)

Total Marks: 1

Accounting treatment for intangible fixed assets is discussed in which of the following IAS?

Select the correct option

 Reload Math Equations

IAS 37



IAS 38



IAS 39



IAS 16



Click to Save Answer & Move to Next Question

Question # 5 of 10 (Start time: 09:53:15 PM, 27 July 2023)

Total Marks: 1

Transaction costs are recognized as ...in statement of profit & loss.

Select the correct option

 Reload Math Equations

- | | |
|----------------------------------|-----------|
| ☒ | Expense |
| ☐ | Provision |
| ☐ | Income |
| ☐ | Asset |

 Click to Save Answer & Move to Next Question

Question # 6 of 10 (Start time: 09:54:48 PM, 27 July 2023)

Total Marks: 1

Property employed in the business administrative purposes is an example of:

Select the correct option

 Reload Math Equations

Financial assets



Investment property



Non-current liabilities



Owner occupied property



Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 09:55:52 PM, 27 July 2023)

Total Marks: 1

Under revaluation method, the revaluation is carried out -----

Select the correct option

 Reload Math Equations☐

Each year

☐

After three years

☒

For each class of asset

☐

For all types of assets

[Click to Save Answer & Move to Next Question](#)

Question # 8 of 10 (Start time: 09:57:26 PM, 27 July 2023)

Total Marks: 1

Which of the following statement is INCORRECT about debt financing?

Select the correct option

 Reload Math Equations

Lenders have direct claim on future profits of the business.



Except in the case of variable rate loans, principal and interest obligations are known amounts.



A lender is entitled only to repayment of the agreed-upon principal of the loan plus interest.



Raising debt capital is less complicated because the company is not required to comply with state.



Click to Save Answer & Move to Next Question

Question # 10 of 10 (Start time: 10:00:53 PM, 27 July 2023)

Total Marks: 1

----- is debited in the books of accounts while derecognizing trade receivables.

Select the correct option

 Reload Math Equations

Trade receivables account



Sales revenue account



Trade payables account



Cash account



Click to Save Answer & Move to Next Question

Question # 9 of 10 (Start time: 09:59:12 PM, 27 July 2023)

Total Marks: 1

----- is nothing more than applying the relevant loss rates to the trade receivable balances outstanding.

Select the correct option

 Reload Math Equations

☐	Deferred asset
☐	Unearned revenue
☒	Provision matrix
☐	Deferred liability

 Saving...